

Q1. Which of the following least likely forms the basic structure for enforcement of the CFA Institute Professional Conduct Program?

- A. Bylaws
- B. Rules of Procedure
- C. Board of Governors

Q2. Who is most likely responsible for claiming and maintaining compliance with the CFA Institute Global Investment Performance Standards (GIPS)?

- A. The firm claiming compliance
- B. Independent verification firms
- C. The performance measurement department

Q3. To be consistent with the Standard relating to diligence and reasonable basis, members who develop quantitative models should:

- A. only understand the technical aspects of the products they provide to clients.
- B. only ensure the models incorporate a wide range of possible input expectations.
- C. both understand the technical aspects of the products they provide to clients and ensure the models incorporate a wide range of possible input expectations.

Q4. A member who is an investment advisor receives a large unsolicited trade request from a client that is not aligned with the client's investment objectives. Which of the following actions by the member is consistent with the Standard relating to suitability? The member:

- A. immediately executes the trade.
- B. reduces the size of the requested investment and executes the trade.
- C. discusses the investment with the client, adjusts the client's investment policy statement, and executes the trade.

Q5. Victoria Christchurch, CFA, is a management consultant currently working with a financial services firm interested in curtailing its high staff turnover, particularly amongst CFA charterholders. In recent months, the company lost 5 of its 10 most senior managers, all of whom have cited systemic unethical business practices as the reason for their leaving. To curtail staff turnover by encouraging ethical behavior, it would be least appropriate for Christchurch to recommend the company to do which of the following?

- A. Implement a whistleblowing policy.

- B. Encourage staff retention with increased benefits.
- C. Create, implement, and monitor a corporate code of ethics

Q6. Vishwanath Reddy, CFA, is the CEO of a brokerage firm that offers regular and premium services to clients. Clients can avail premium services paying a higher fee or by making referrals. Reddy does not disclose the referral fee arrangement because prospective clients who are referred to the firm are typically friends of existing clients. Reddy has violated the Standard(s) relating to:

- A. fair dealing only.
- B. referral fees only.
- C. both fair dealing and referral fees.

Q7. The Standard relating to communication with clients and prospective clients requires members to inform which of the following of significant risks and limitations to the investment decision-making process?

- A. Clients only.
- B. Prospective clients only.
- C. Both clients and prospective clients

Q8. Diana Fairbanks, CFA, is married to an auditor who is employed at a large accounting firm. When her husband mentions that a computer firm he audits will receive a qualified opinion she thinks nothing of it. Later that week when she reviews a new client account she notices that there are substantial holdings of this computer firm. When she does a thorough internet search for news on the company, she does not find anything about its most recent audit or any other adverse information. Which of the following actions concerning the computer stock should Fairbanks most likely take to avoid violating the CFA Institute Standards of Professional Conduct?

- A. Take no investment action
- B. Complete a thorough and diligent analysis of the company and then sell the stock
- C. Sell the stock immediately as she has a reasonable basis for taking this investment action

Q9. According to the Standard relating to responsibilities of supervisors, examining the firm's incentive structure to determine whether the structure encourages profits and returns at the expense of ethically appropriate conduct is the responsibility of:

- A. the firm only.
- B. the supervisor only.
- C. both the firm and the supervisor

Q10. According to the Standard relating to additional compensation arrangements, a member must refuse to accept gifts which might reasonably be expected to create a conflict with her employer's interest unless the member obtains:

- A. verbal consent from her employer only.
- B. written consent from her employer only.
- C. written consent from all parties involved.

Q11. The recommended procedures for compliance with the Standard relating to misconduct include which of the following?

- Procedure 1: Check references of potential employees to ensure that they are of good character.
 - Procedure 2: Disseminate to all employees a list of potential violations by investment personnel and the associated disciplinary sanctions imposed by the firm.
- A. Only Procedure 1
 - B. Only Procedure 2
 - C. Both Procedure 1 and Procedure 2

Q12. Mila Roy, CFA, heads the research division of an investment firm. Roy sends a recommended stock list to all of her firm's clients along with a notification that a detailed report on each stock is available on request. Roy later calls only her premium fee-paying clients and discusses her recommendations. Such additional services are available for all clients willing to pay premium fees and is fully disclosed as part of the client agreement. Has Roy violated the Standards?

- A. No
- B. Yes, the Standard relating to fair dealing
- C. Yes, the Standard relating to communication with clients and prospective clients

Q13. Which of the following member actions is a violation of the Standard relating to market manipulation?

- Action 1: Selling large holdings of a small-cap stock with the intent to make a profit despite being aware that the transaction could significantly impact the stock price.
- Action 2: Securing a significant position in a futures contract with the intent to drive the price of the underlying asset downward.
- Action 3: Acquiring a large position in an asset in one market and shorting the same asset in another market with the intent to generate arbitrage profits.

- A. Action 1.
- B. Action 2.
- C. Action 3.

Q14. Are both of the following statements consistent with the Standard relating to preservation of confidentiality?

- Statement 1: If permissible under applicable law, members should provide client information when requested by the CFA Institute Professional Conduct Program during an investigation into the member's conduct.
 - Statement 2: Members must continue to maintain the confidentiality of client records even after the client relationship has ended.
- A. Yes.
 - B. No, Statement 1 is not consistent with the Standard.
 - C. No, Statement 2 is not consistent with the Standard.

Q15. Rex Leopold, CFA, is a financial advisor. Leopold plans to leave his current employer to start his own competing business. During non-business hours, and before giving notice of termination to his current employer, Leopold undertakes preparations to start his own firm, including procuring the appropriate regulatory approvals, leasing office space, and hiring an office manager. Has Leopold most likely violated the Standards?

- A. No.
- B. Yes, the Standard relating to loyalty.
- C. Yes, the Standard relating to misconduct.

Q16. Which of the following statements is accurate?

- A. Verification eliminates the need for in-depth due diligence of a GIPS-compliant firm for a prospective investor.
- B. Verification can be performed on a specific composite to ensure accuracy of the composite presentation.
- C. Verification provides assurance on whether the firm's policies and procedures related to pooled fund maintenance have been implemented on a firm-wide basis.

Q17. John Pedersen, CFA, writes in his firm's promotional material:

- Statement 1: "I passed all three CFA Program examinations in three consecutive years.
- Statement 2: Being a CFA charterholder, I am among the elite of investment professionals.

Q. Has Pedersen most likely violated the Standard(s)?

- A. No
- B. Yes, by making Statement 1 only
- C. Yes, by making Statement 2 only

Q18. Which of the following statements concerning the Global Investment Performance Standards (GIPS) is most likely correct?

- A. The GIPS standards eliminate the need for in-depth due diligence by investors.
- B. Compliance with the GIPS standards enhances the credibility of investment management firms.
- C. Clients or prospective clients benefit from the GIPS standards because the historical track record of compliant firms is accurate and precise.

Q19. A member presents investment performance to potential clients. According to the Standard relating to performance presentation, the member is permitted to omit which of the following in his presentation?

- A. Only simulated results as a source of performance data.
- B. Only supporting details of recommendations if the details are made available upon request.
- C. Both simulated results as a source of performance data and supporting details of recommendations if the details are made available upon request.

Q20. According to the Standard relating to loyalty, prudence, and care, members are most likely required to:

- A. vote all proxies on behalf of clients even if some proxies offer no direct client benefit.
- B. avoid the use of soft dollars unless the services purchased have corresponding benefit for the client.
- C. consider each investment based solely on its characteristics, independently of other portfolio assets.

Q21. Shika Agarwal is a Level I candidate in the CFA program. Immediately after taking the exam, Agarwal posts in a social media group for CFA candidates arguing that the move to computer-based testing would have an adverse impact on the quality of the CFA program. She also states how surprised she was that the exam did not have quantitative questions on portfolio management. Has Agarwal violated the Standards?

- A. No.
- B. Yes, by stating that the exam did not have quantitative questions on portfolio management.
- C. Yes, by arguing that the move to computer-based testing would have an adverse impact on the quality of the CFA program.

Q22. Solomon Sulzberg, CFA, is a research analyst at Blue Water Management. Sulzberg's recommendations typically go through a number of internal reviews before they are published. In developing his recommendations, Sulzberg uses a model developed by a quantitative analyst within the firm. Sulzberg made some minor changes to the model but retained the primary framework. In his reports, Sulzberg attributes the model to both the quantitative analyst and himself. Before the internal reviews of his reports were completed, Sulzberg buys shares in one of the companies. After the internal review is complete he fails to recommend the purchase of the stock to his clients and erases all of his research related to this company. Sulzberg least likely violated the CFA Institute Code of Ethics and Standards of Professional Conduct related to:

- A. Record Retention.
- B. Misrepresentation.
- C. Priority of Transactions.

Q23. Faiza Hassan, CFA, is an equity analyst specializing in social media companies. Recently, she placed a "buy" rating on WeGab Corp. Following her initial report on the company, Hassan's brother has purchased a large amount of WeGab stock. Hassan has no beneficial ownership in her brother's account. Hassan has been asked to write a follow-up report on WeGab because of strong takeover rumors relating to the company. Will Hassan violate the Standards if she writes the follow-up report without disclosing her brother's shareholding in the company?

- A. No
- B. Yes, the Standard relating to avoid or disclose conflicts
- C. Yes, the Standard relating to loyalty, prudence, and care

Q24. Members should encourage their firms to establish which of the following procedures to avoid violations of Standard relating to independence and objectivity?

- Procedure 1: Place a covered company on a restricted list if the firm is unwilling to disseminate adverse opinion on the company.
- Procedure 2: Prohibit employees from receiving reimbursement from corporate issuers for air transportation when attending meetings at the issuers' headquarters.

- A. Procedure 1 only
- B. Procedure 2 only
- C. Both Procedure 1 and Procedure 2

Q25. Melissa Kon, CFA, is an equity analyst. She recently left her job at Hamm Capital (HC) to join Eagle Investments (EI). Kon obtains the express consent of HC to take one of her historical research reports with her. At EI, she diligently updates the report and publishes it. Afterwards, she re-creates supporting records from sources obtained at HC. Has Kon violated the Standards?

- A. No
- B. Yes, by publishing the updated research report
- C. Yes, by re-creating the supporting records from sources obtained at Hamm Capital

Q26. Firms that claim compliance with the GIPS standards are most likely allowed to state that performance is calculated in accordance with the GIPS standards when presenting a:

- A. GIPS Composite Report to a prospective client.
- B. segregated account return to the account owner.
- C. GIPS Pooled Fund Report to a prospective investor.

Q27. Yun Hae, CFA, is a portfolio manager at Citadel Capital (CC). Hae's brother maintains a fee-paying retirement account at CC. Hae has no beneficial ownership in her brother's account. Whenever an IPO becomes available that is suitable for her clients, Hae first allocates shares to other clients before placing any remaining shares in her brother's account. She adopts this procedure to avoid potential conflicts of interest. Hae's actions violate the Standard(s) relating:

- A. only to fair dealing.
- B. only to priority of transactions.
- C. both to fair dealing and to priority of transactions.

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An analyst gathers the following information about a company:

Tax burden	0.4
Interest burden	0.75
Pretax margin	10.0%
Total asset turnover	1.5
Financial leverage	1.2

Q28. ROE is:

- A. 5.4%.
- B. 6.0%.
- C. 7.2%.

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An analyst gathers the following information (in € thousands) about a manufacturing company:

EBIT	10,000
Interest payments	4,000
Lease payments	2,000

Q29. The fixed charge coverage ratio is closest to:

- A. 1.7.
- B. 2.0.
- C. 2.5.

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An analyst gathers the following information (in € millions) about a company:

Cost of sales	800
Decrease in inventory	250
Increase in accounts payable	100

Q30. Cash paid to suppliers (in € millions) is:

- A. 450.
- B. 950.
- C. 1,150.

The following data are available on a company:

Financial data (HK\$ millions)	Current Year	Prior Year
Revenue	18,980	18,250
Cost of sales	14,600	14,040
Ending inventory	2,150	1,850
Ending accounts receivable	2,900	3,300
Ending accounts payable	2,700	2,900
Ratios		
Number of days of payables		60
Days of sales outstanding (DSO)		70
Days of inventory on hand (DOH)		40

Q31. The least likely explanation for the improvement in the cash conversion cycle is that the firm improved on its:

- A. payments to suppliers.
- B. inventory management.
- C. ability to collect from customers.

Q32. A write-down of inventory to its net realizable value by a manufacturing company most likely results in a lower:

- A. cost of sales than if the write-down had not occurred.
- B. current ratio than if the write-down had not occurred.
- C. inventory turnover than if the write-down had not occurred.

Q33. Using a common-size income statement to compare a company to its peers, an analyst can determine the company's:

- A. size.
- B. relative performance.
- C. revenue recognition policies.

Q34. Which of the following statements about bootstrap resampling is most accurate? The bootstrap resampling process requires:

- A. drawing random samples with replacement.
- B. an analytic formula to perform statistical inference.
- C. the number of repetitions to be equal to the sample size.

Q35. The structural deficit is equal to the budget deficit:

- A. adjusted for inflation.
- B. that would exist at full employment.
- C. excluding the impact of automatic stabilizers.

Q36. For a company with taxable income, if interest expense becomes tax deductible, the effective marginal cost of debt:

- A. decreases.
- B. remains the same.
- C. increases.

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An analyst gathers the following information (in £ millions) about a company:

	Year 2	Year 1
Total assets	90	100
Total liabilities	36	40
Total net assets	54	60

Q37. Using vertical common-size balance sheet analysis, the company's total liabilities in Year 2 are closest to:

- A. 40%.
- B. 67%.
- C. 90%.

Q38. In a perfectly competitive market, a firm's breakeven point is the minimum point of the:

- A. average total cost curve.
- B. average fixed cost curve.
- C. average variable cost curve.

Q39. Deductible temporary differences could arise when the:

- A. taxable income exceeds accounting profit.
- B. carrying amount of an asset exceeds its tax base.
- C. financial accounting income tax expense exceeds income taxes payable.

Q40. Ignoring income taxes, an impairment loss on equipment will most likely decrease:

- A. net profit margin.

- B. total asset turnover.
- C. working capital turnover.

Q41. For a non-colluding oligopoly in a price war market, competitors are most likely to:

- A. match a rival's price reduction and ignore a rival's price increase.
- B. ignore a rival's price reduction and match a rival's price increase.
- C. match both a rival's price reduction as well as a rival's price increase.

Q42. A retailer that prepares its financial statements in accordance with IFRS has 100 office chairs in its inventory with a suggested retail price of \$240 each, for which it paid a supplier an average of \$200 a chair.

- Demand for the chairs has been low for quite a while, and in response the supplier has lowered its selling price to \$160 each.
- However, the retailer estimates it can sell the chairs for \$180 each if it offers free shipping to its customers. Shipping costs to the retailer are estimated to be \$10 per chair, on average.

Q. The total carrying amount of these 100 office chairs on the retailer's balance sheet is closest to:

- A. \$16,000.
- B. \$17,000.
- C. \$18,000.

Q43. The entire cost of an intangible asset is most likely expensed when incurred if the asset is:

- A. developed internally.
- B. acquired through business combinations.
- C. purchased in a transaction other than a business combination.

Q44. Which of the following attributes is most accurate for a typical company in its start-up stage?

- A. Cash flows are negative
- B. The company can raise equity in public markets
- C. Debt is a significant component of the capital structure

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An analyst gathers the following information (in € thousands) about a company:

Beginning retained earnings	1,500
Ending retained earnings	2,000
Dividends declared and paid	400

Q45. If there are no other items affecting shareholders' equity, net income (in € thousands) is:

- A. 100.
- B. 500.
- C. 900.

Q46. Which of the following statements about the use of financial ratios is most accurate?

- A. Each financial ratio is relevant to all industries
- B. Financial ratios can be affected by the phase of the business cycle
- C. Aggregate financial ratios are useful for companies operating in different lines of business

Q47. One of the key roles played by central banks is:

- A. regulating the payments system.
- B. controlling aggregate demand with changes in tax rates.
- C. allocating resources between different sectors of the economy.

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An analyst gathers the following information about three portfolios:

	Portfolio X	Portfolio Y	Portfolio Z
Expected annual return	10%	12%	14%
Standard deviation of returns	12%	16%	20%

Q48. If the shortfall level is 5%, which portfolio has the largest safety-first ratio?

- A. Portfolio X
- B. Portfolio Y
- C. Portfolio Z

Q49. A primary aim of fiscal policy is to manage the economy through its influence on:

- A. real GDP.
- B. price stability.
- C. interest rates.

Q50. An audit disclaimer of opinion is most likely issued when:

- A. management commentary is unaudited.
- B. auditors are unable to express an opinion.
- C. auditors determine that the financial statements materially depart from accounting standards and are not fairly presented.

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An analyst gathers the following information (in € millions) about a company's machine:

Carrying amount prior to impairment	8.0
Present value of expected future cash flows	7.4
Undiscounted expected future cash flows	7.8
Costs to sell	0.2
Impairment loss	0.5

Q51. The fair value of the machine (in € millions) is:

- A. 7.5.
- B. 7.7.
- C. 7.8.

Q52. A US company that complies with US GAAP would like to exclude some items in determining non-GAAP financial measures, other than EBIT and EBITDA. Which of the following items may be excluded?

- A. Impairment charges for long-lived assets
- B. For liquidity measures, litigation costs requiring cash settlement
- C. For performance measures, items tagged as infrequent that occurred within the past two years

Q53. Target capital structure is often expressed using book values of equity and debt because:

- A. capital structure policy is aligned to measures used by third parties.
- B. market values can fluctuate substantially and frequently impact the appropriate level of borrowing.

- C. for management, the primary concern is the amount and types of capital invested in the company, not by the company

Q54. Which of the following stakeholders are most likely responsible for implementing a public corporation's strategy?

- A. Managers
- B. Governments
- C. Board of directors

Q55. According to capital allocation principles, managers should ignore:

- A. taxes.
- B. the volatility of cash flows.
- C. expenses that were already incurred.

Q56. The principal tool used to align the interests of management and shareholders is:

- A. regulation.
- B. proxy voting.
- C. compensation.

Q57. With respect to fintech, which of the following statements is most accurate?

- A. Big Data solves the issue of selection bias.
- B. A neural network that learns a dataset too precisely may indicate overfitting.
- C. Machine learning algorithms require assumptions on the underlying probability distribution of the data.

Q58. In hypothesis testing, the critical value is determined by the:

- A. p-value.
- B. sample's mean.
- C. level of significance.

Q59. In the recovery phase of the business cycle, the economy is most likely:

- A. enjoying an upswing and a positive output gap opens.
- B. going through a trough and a positive output gap opens.
- C. going through a trough and a negative output gap starts to narrow.

Q60. Which of the following market structures most likely has the greatest elasticity of demand?

- A. Oligopoly
- B. Perfect competition
- C. Monopolistic competition

Q61. The central limit theorem is best described as stating that the sampling distribution of the sample mean will be approximately normal for large-size samples:

- A. if the population distribution is normal.
- B. if the population distribution is symmetrical.
- C. for populations described by any probability distribution.

Q62. An increase in utility for a company's products as these products become more widely adopted best describes:

- A. network effects.
- B. operating leverage.
- C. product differentiation.

Q63. Which is most likely considered a "pull" on liquidity?

- A. Obsolete inventory
- B. Reduction in a line of credit
- C. Increased difficulty in collecting receivables

Q64. Which of the following monetary policy regimes most likely imports the inflation of a foreign economy?

- A. Inflation targeting
- B. Interest rate targeting
- C. Exchange rate targeting

Q65. Double taxation of income occurs when a corporation pays taxes on its profits, and additional taxes are paid by the:

- A. shareholders on dividends received.
- B. corporation on distributions to shareholders.
- C. shareholders on gains earned from their equity investment

Q66. With respect to the monetary transmission mechanism, a central bank's policy rate is initially transmitted through the economy via:

- A. inflation.
- B. asset prices.
- C. reserve requirements.

Q67. Globalization is primarily the result of:

- A. political cooperation.
- B. political non-cooperation.
- C. economic and financial cooperation.

Q68. An analyst calculates a portfolio's target semideviation of returns over twelve consecutive months, including seven months of below-target returns. The sum of the squared deviations below the target is 42%. The target semideviation is closest to:

- A. 1.87%.
- B. 1.95%.
- C. 2.65%.

Q69. If all observations in a dataset have distinct positive values, which of the following relationships holds?

- A. Arithmetic mean < Harmonic mean < Geometric mean
- B. Geometric mean < Arithmetic mean < Harmonic mean
- C. Harmonic mean < Geometric mean < Arithmetic mean

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An analyst gathers the following information about a company:

Company value (\$ billions)	1.5
Value of debt (\$ billions)	0.6
Marginal tax rate	30%

Q70. Based on Modigliani and Miller's Proposition I with taxes, if the company issues common stock to repay outstanding debt, the value of the unlevered company will be closest to:

- A. \$0.9 billion.
- B. \$1.3 billion.
- C. \$1.5 billion.

Q71. In a period of rising prices and stable inventory levels, which inventory valuation method will most likely result in the highest inventory turnover ratio, all else being equal?

- A. Last-in, first-out (LIFO)

- B. Weighted average cost
- C. First-in, first-out (FIFO)

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An analyst gathers the following probabilities concerning Event X and some new information:

Prior probability of X	0.70
Probability of the new information given X	0.50
Unconditional probability of the new information	0.60

Q72. Using Bayes' formula, the updated probability of X given the new information is closest to:

- A. 0.43.
- B. 0.58.
- C. 0.84.

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An analyst gathers the following exchange rate information:

USD/EUR spot rate	1.0993
USD/EUR 6-month forward points	11.7

USD/EUR is the amount of USD per 1 EUR.

Q73. The USD/EUR 6-month forward rate is closest to:

- A. 1.0981.
- B. 1.1005.
- C. 1.2279.

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An investor gathers the following information:

	Account 1	Account 2	Account 3
Stated annual interest rate	6.1%	6.3%	6.2%
Compounding frequency	Daily	Annual	Quarterly

Q74. If a \$1,000 deposit is made today, the future value in one year will be greatest for:

- A. Account 1.
- B. Account 2.
- C. Account 3

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An analyst gathers the following information about a simple linear regression:

Intercept	1.0
Slope coefficient	1.5
Standard error of the regression	0.5

Q75. If the value of the independent variable is 2.0, the value of the dependent variable predicted by the regression is closest to:

- A. 3.5.
- B. 4.0.
- C. 4.5.

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A project has the following cash flows:

Year 0	Year 1	Year 2	Year 3	Year 4
-\$1,000	\$100	\$100	\$100	\$1,100

Q76. The internal rate of return (IRR) for the project is closest to:

- A. 8.8%.
- B. 9.1%.
- C. 10.0%.

Q77. An exchange rate regime based on an explicit legislative commitment to exchange domestic currency for a specified foreign currency at a fixed exchange rate is best described as a:

- A. monetary union.
- B. fixed parity system.
- C. currency board system.

An analyst gathers the following information (in € millions) about a company:

Net income	108
Depreciation expense	20
Interest expense	20
Increase in working capital	35
Capital expenditures	50
Net borrowing	14

Q78. If the income tax rate is 30%, FCFF is:

- A. less than FCFE.
- B. the same as FCFE.
- C. greater than FCFE.

Q79. Non-cooperative financial tools used to further a country's national interests include which of the following?

- Tool 1: Limiting access to local currency markets and restricting foreign investment
- Tool 2: Nationalization of sectors perceived as vital to economic security
- A. Tool 1 only
- B. Tool 2 only
- C. Both Tool 1 and Tool 2

Q80. The 'box' in a box and whisker plot represents the:

- A. interquartile range.
- B. range between the median and the arithmetic average.
- C. range between the highest and lowest values of the distribution.

Q81. A company makes all sales on credit. According to the converged accounting standards for revenue recognition, a contract asset is most likely recognized on the seller's balance sheet when:

- A. goods or services are delivered and payment is received.
- B. payment is received in advance of transferring the goods or services.
- C. revenue is recognized related to some of the contractual performance obligations that have been met.

Q82. An investor purchases a security for \$500,000. If the value of the security declines by 10% over the first 3-month period and then increases by 9% over the next 3-month period, the holding period return over the 6-month period is closest to:

- A. -1.9%.
- B. -1.0%.
- C. -0.5%.

Q83. Proxy voting is best defined as a means for:

- A. a would-be acquirer to gain control.
- B. activist shareholders to pressure management.
- C. shareholders voting without attending a meeting in person.

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An analyst gathers the following information about a company's sources of capital:

Source of Capital	Amount Raised	Before-tax Cost of Capital
Equity	\$15 million	8%
Debt	\$10 million	4%
Preferred stock	\$1 million	5%

Q84. If interest is tax-deductible, a 35% marginal tax rate results in a WACC closest to:

- A. 5.74%.
- B. 5.81%.
- C. 6.35%.

Q85. A bank has a stated annual interest rate of 7%. If an investor deposits 10,000 and earns \$712.25 in interest over the first year, what frequency of compounding does the bank apply?

- A. Quarterly
- B. Continuous
- C. Semiannual

Q86. At year end, a company has non-convertible debt, ordinary shares, and employee stock options outstanding. The company's capital structure is considered to be:

- A. simple, if the options are antidilutive.
- B. complex, because the company has both debt and equity.
- C. complex, because the options are convertible into ordinary shares

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An analyst gathers the following information about foreign exchange spot prices:

	1 January Year 1	1 January Year 2
USD/EUR	1.4025	1.3600
CAD/USD	1.0800	1.0450

Note: USD/EUR exchange rate quote convention is USD per EUR.

USD = US dollar; EUR = euro; CAD = Canadian dollar.

Q87. The percentage appreciation of the EUR/CAD is closest to:

- A. 6.17%.
- B. 6.47%.
- C. 6.58%.

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An analyst estimates the following data about a company for the next year:

Inflation rate on the cost of sales	10%
Increase in average selling price per unit	7%
Decrease in volumes sold	3%

Q88. If the company's cost of sales is 60% for the current year, the company's projected gross profit margin for next year is closest to:

- A. 36.4%.
- B. 38.3%.
- C. 39.8%.

Q89. A company that reports under US GAAP leases assets for its own use and classifies its leases as finance leases. In the first year of a lease, how would it most likely report a lease payment on its Statement of Cash Flows?

- A. The full payment in cash from operations
- B. The full payment in cash from financing activities
- C. The interest portion of the payment in cash from operations

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An analyst gathers the following information from a simple linear regression model with 30 observation pairs:

Sum of squares regression (SSR)	50
Sum of squares error (SSE)	16

Q90. The F-statistic for the test of fit is closest to:

- A. 3.1.
- B. 87.5.
- C. 90.6.